

The way insurance has been sold in India, my guess is that you are sitting on a lot of dud policies. Why do I call them ‘dud’? Because they don’t solve any of your financial problems. These are products not designed to give you either a good cover or a good return. In its purest form, a life insurance cover should pay your beneficiary a lump sum when you die for the price of the premium. If you outlive your policy, no money comes back.

Think of the premium as the price of the product. Ask the question, what am I getting for this price? If you can’t answer the question clearly, you don’t have a term plan. A pure life insurance policy is called a ‘term plan’. This is not a policy that your agent or bank will tell you about. Why? Because it is cheap and does not soak up too much of your money.

An average thirty-five-year-old can buy a twenty-five-year term plan that gives his beneficiary Rs 1 crore (Rs 10 million) if he dies within those twenty-five years for the price of Rs 8,000 to 10,000 a year. Pull out your plans and see how much cover you have. I can assure you that if you don’t have a term plan, you don’t have much cover. You have a dud. Or many, many duds.

Understanding life insurance products in the market

In a term policy, your premium is a price you pay for buying a life cover. So if your premium is Rs 10,000 a year for a one-crore cover, this is the price you pay to the insurance company for taking the risk of you dying an untimely death. When you buy this policy, you understand that if you live beyond the policy term (usually till you reach retirement age – more of this in the chapter on retirement), you get nothing back. Your Rs 10,000 a year for twenty to thirty years is a ‘waste’. You got nothing back.

This is where you need to rework your own belief about this being a ‘waste’. It is not. It is the price you pay for buying a life cover. You hope that your family does not have to collect the insurance and that you die of old age.

It is easier to see the logic of why we should ‘waste’ this money on a term policy than buy the other kinds of policies in the market – endowment, money-back plans or unit-linked policies – once we understand how these policies work.